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This Month in Geopolitics: July 2026

Key events, themes and trends to watch in the month ahead

July 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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At a Glance: Geopolitical events to watch in July 2026

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



In the spotlight for July 2026: US-Iran peace talks and China-EU trade tensions



US-Iran peace talks (all of July)

The US and Iran are keen to press ahead with the framework agreement even if this doesn't lead to a full-scale peace agreement. This process is unlikely to be without friction. There are many moving parts in negotiations and we should watch closely for disagreements over implementation, Gulf states' requirements for security guarantees, and domestic political opposition from key parties. A critical factor to watch will be the potential for Israeli aspirations in Lebanon to upend the deal. We suspect that there is significant US pressure on President Netanyahu to cease operations and accept the accrued gains to prevent a derailing of the deal.

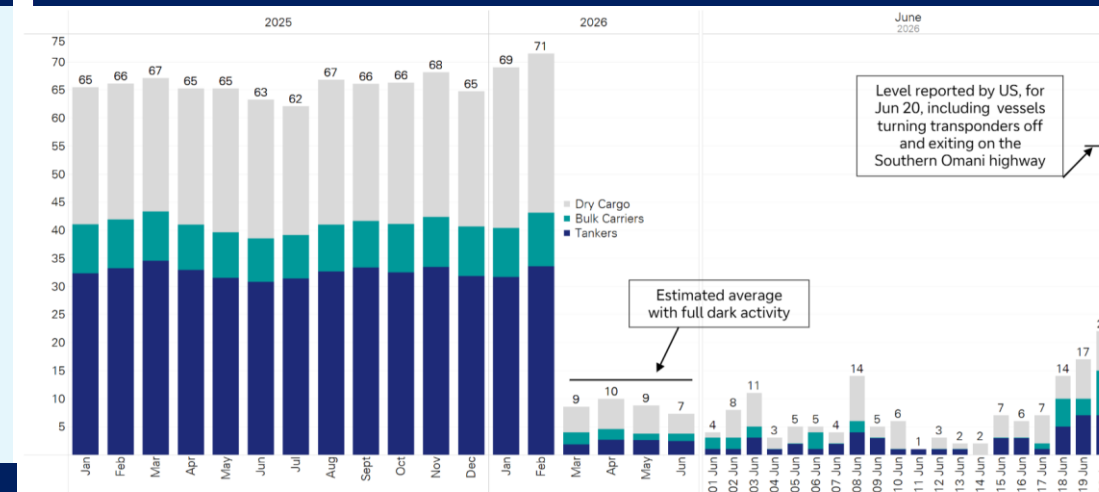
Shipping levels through the Strait of Hormuz have increased (see top chart), but **traffic will likely take time to recover to pre-war levels** given the challenges of de-mining, a lack of trust between the US and Iran, and Iranian [threats](#). Infrastructure repair to ports, terminals and energy infrastructure, as well as the provision of security guarantees are other factors to watch. While crude oil prices have recovered to pre-war levels, full operational normalization, involving infrastructure repairs, [is not expected](#) until 2027 and beyond.

China-EU trade tensions (all of July)

While efforts have been initiated to avoid a trade war, the EU continues to implement new measures against China. On 29 JUN, the EU and China agreed to a 3-month dialogue with a commitment to reconvene in October on four "workstreams" to make progress on trade disagreements, including export controls, trade and investment balancing, and a joint monitoring mechanism to improve transparency and manage trade frictions.

At the same time, the EU Council **has reportedly tasked the European Commission with developing new trade defence tools** implicitly aimed at addressing trade imbalances with China. The trade imbalance, along with perceptions that China's currency is [undervalued](#), is a growing political concern for the bloc (see bottom chart). **Two new EU measures implicitly aimed at China entered into force on 1 JUL.** The first is a temporary €3 (US\$3.4) customs duty per item levied on low-cost shipments entering the bloc. The measure intends to address imports from Chinese e-commerce companies and will remain in force until 1 JUL 2028. **New rules intended to protect the EU steel market from global overcapacity** entered into force, which include a revised quota system. China is the world's largest steel producer, accounting for around 50% of global output.

Blue-water commercial cargo tankers exit the Strait of Hormuz (from 2025) version count

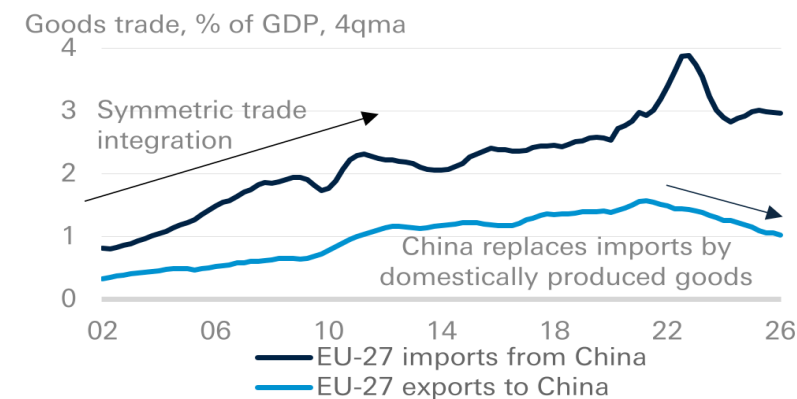


Source: dbDataInsights

Note: Pre-crisis figures do not account for 'dark activity' (estimated 3-6 vessels per day with transponders off, mainly Iranian tankers). Following the crisis, we implemented a methodology to estimate partial dark activity by cross-referencing Persian Gulf port departures with confirmed arrival records outside the SoH, and media reports. Based on this, our recorded average daily vessel crossings from March to mid-June were nine. However, if we were to triangulate all estimated dark activity, average daily crossings during this period would likely have been in the low-teens. Dark activity appears to have picked up significantly since the MoU was signed as the U.S. Central Command said 55 commercial ships passed through the strait on 20 June.

For a detailed analysis of the impact of the Iran conflict and the outlook for the Strait of Hormuz, please see [Twenty Miles That Shook the World](#)

Structural trend of a widening EU trade deficit with China



Key events, issues and themes to watch in July 2026

Listed in chronological order



US trade policy (all of July)

July could see the introduction of new US tariffs against dozens of trading partners. The expiry of US 10% global Section 122 tariffs **on 24 July**, and their expected replacement by Section 301 levies, should keep pressure on countries to strike bilateral deals favourable to the US, spanning trade, investment, industrial and technology concessions. Countries with existing framework agreements with the US [could see](#) the rates of new levies capped at previously agreed levels. **New US Section 301 tariffs on China** could increase bilateral tensions, although we assess that a return to significant trade escalation remains unlikely as long as both leaders continue to signal a [commitment to strategic stability](#).

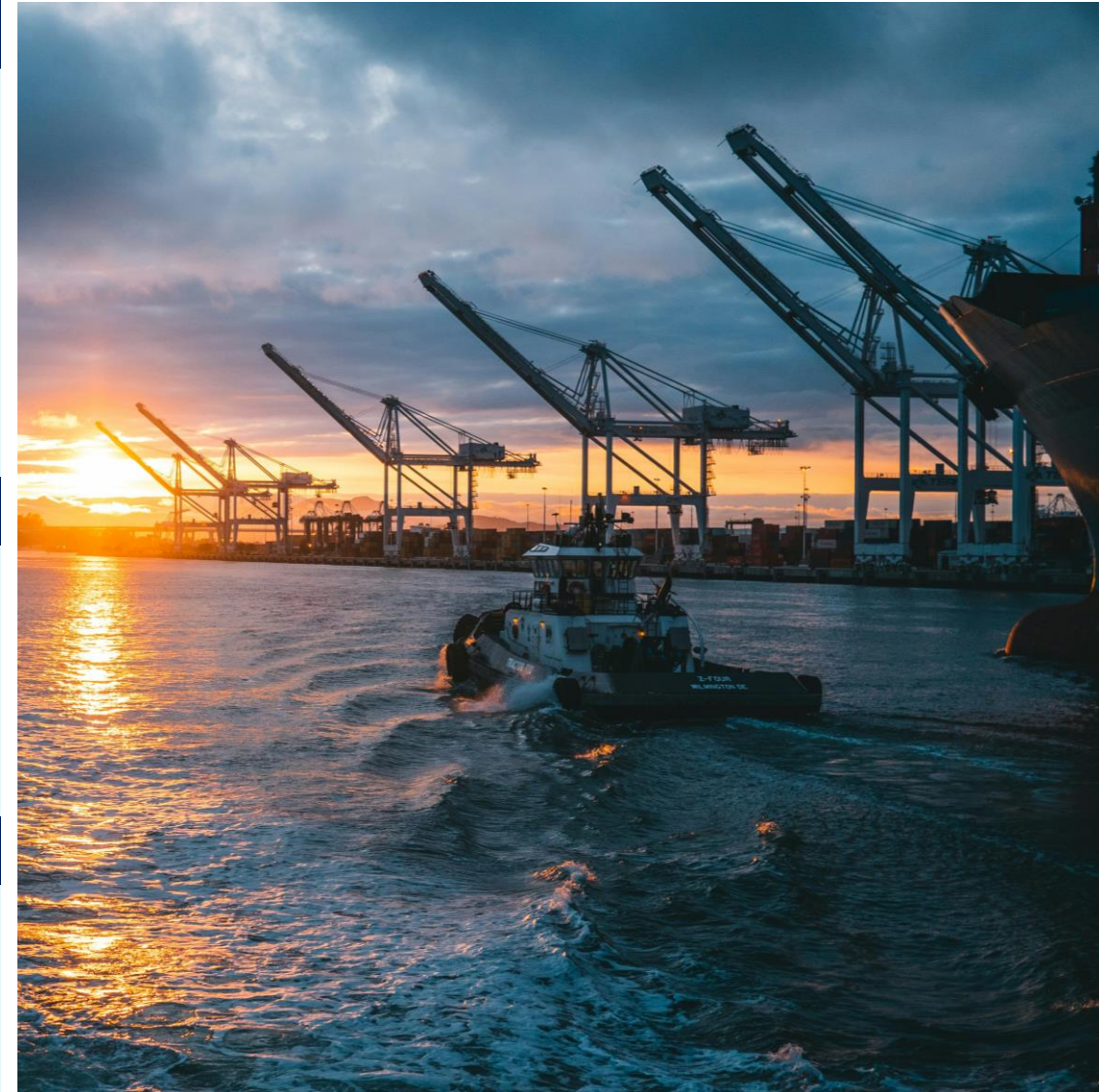
Under a separate [Section 232 investigation into critical minerals](#), after 13 July, the US may choose to impose tariffs, price floors or other trade measures in response to minerals agreements judged to be incomplete or ineffective.

US-Mexico-Canada trade talks (1 July onward)

The renewal talks are expected to be challenging and potentially protracted. 1 July marks the start of the US-Mexico-Canada (USMCA) trade deal's mandatory six-year joint review process. The three countries are required to assess whether to extend the agreement for another 16 years, review it or allow it to move into annual review mode if consensus is not reached. **Officials have signaled that the complex negotiations may continue beyond the initial review date.** President Trump's statements in June expressing skepticism over the deal and its value to the US could add another layer of uncertainty to the talks.

Japanese Prime Minister Takaichi's expected to visit India (1-3 July)

The visit will likely aim to strengthen bilateral trade and investment ties. Prime Minister Takaichi's first official visit to India will likely include a bilateral meeting with Prime Minister Modi. Areas of focus in talks could include increased cooperation in semiconductors, strengthening supply chain resilience, as well as security cooperation. Both countries are members of the Quad initiative, and bilateral ties have strengthened in recent years as New Delhi and Tokyo diversify their international ties amid rising geopolitical uncertainty. **Japan is India's fifth-largest foreign investor**, particularly in sectors such as automotive manufacturing, digital technology, clean energy and infrastructure.



Source: [Ronan Furuta](#) on [Unsplash](#)

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AI/digital summits in Geneva (6 -10 July)

Switzerland will host three UN-backed summits during July. The UN will hold its inaugural **Global Dialogue on AI Governance** (6-7 July), intended to establish shared principles on AI governance and improve interoperability across emerging national regulatory frameworks. The summit takes place alongside two meetings organized by the International Telecommunication Union (ITU). The annual **AI for Good Global Summit** (7-10 July) aims to translate AI policy discussions into technical standards, public-private partnerships and scaled deployment of AI solutions. The **World Summit on the Information Society** (WSIS; 6-10 July) centres on promoting global digital cooperation.

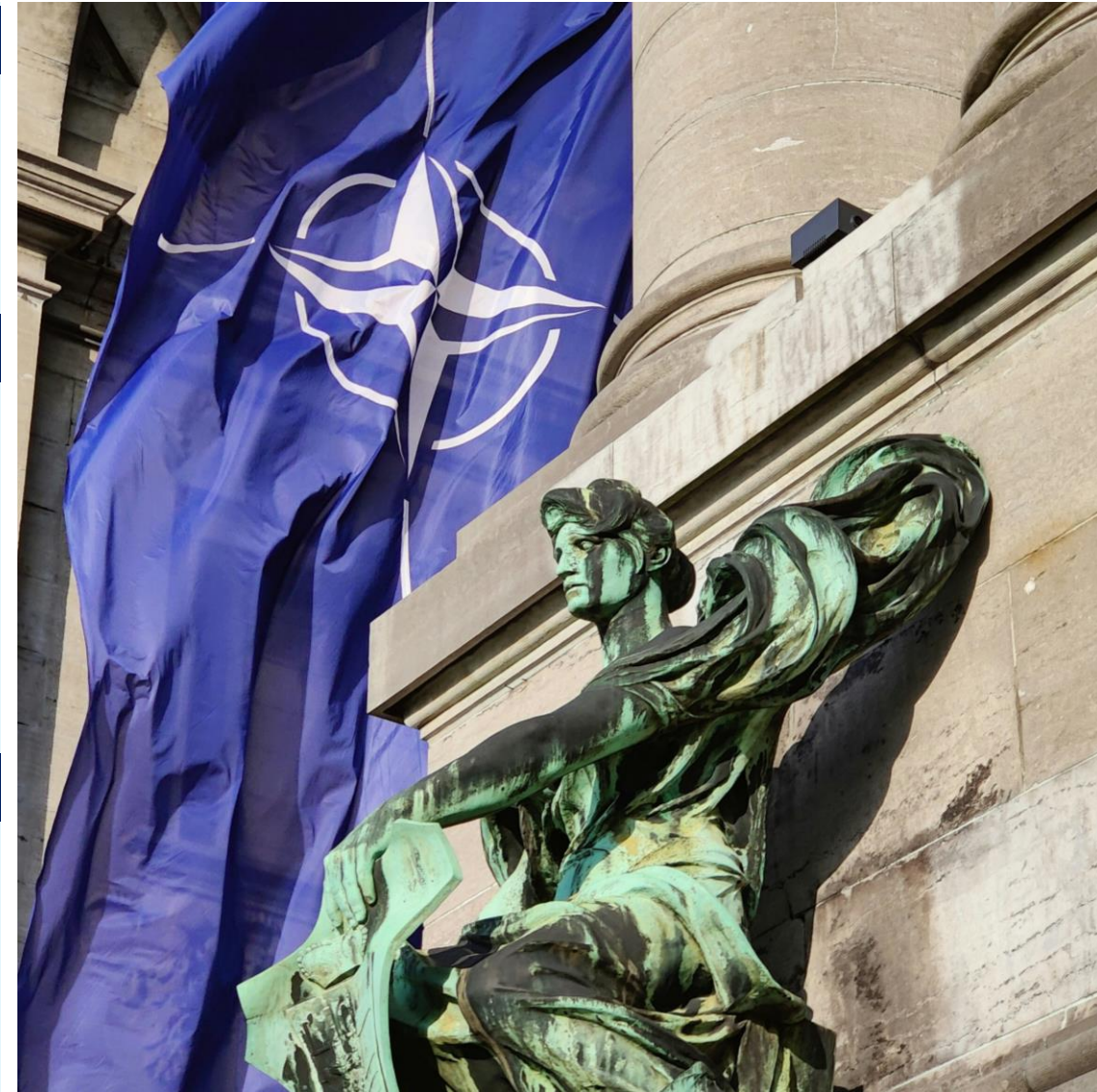
NATO leaders' summit in Ankara (7-8 July)

Pressure on European allies to carry more of the security burden will likely intensify as US stockpile and resource constraints bite after the Iran war. President Trump's demands will likely headline the NATO Leaders Summit. **It is slated to assess the credibility of national defence spending plans** and advance the emerging "NATO 3.0" agenda under which European NATO members take on more responsibility for their own conventional defence.

Ahead of the meeting, **the US has announced some military pullbacks from Europe** and reportedly notified allies of further planned reductions to its NATO Force Model contributions. To slow the withdrawal of hard-to-replace US capabilities (such as air defence, long-range weaponry and strategic airlift), European leaders will stress their commitment to NATO's new 3.5%-of-GDP target for "core" defence spending and their readiness to help clear the Strait of Hormuz.

India's Prime Minister Modi could visit Indonesia, Australia and New Zealand (6 -11 July)

Media reports indicate that Modi could visit the three countries during July, even though no plans have been officially confirmed. The prime minister's itinerary could reportedly include talks with Indonesian President Prabowo Subianto, Australian Prime Minister Albanese and New Zealand's Prime Minister Luxon. If confirmed, the visit would likely reflect New Delhi's **intensifying economic and security engagement with regional middle powers** amid rising global geopolitical risk and global trade volatility.



Source: [Jannik](#) on [Unsplash](#)

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Appointment of new UK Prime Minister (mid-July)

UK will see the appointment of its 7th Prime Minister since 2016. Prime Minister Keir Starmer announced his resignation on 22 JUNE. The Labour leadership nomination process opens on 9 JUL. At the time of publication, Any Burnham is the only declared candidate. Assuming no other Labour MP mounts a leadership challenge, Burnham could become the Prime Minister by mid-July, pending the completion of the Labour leadership process and formal appointment by the King.

Burnham's key priorities appear to be significant devolution of power, regional economic growth, fiscal discipline, and political reform.

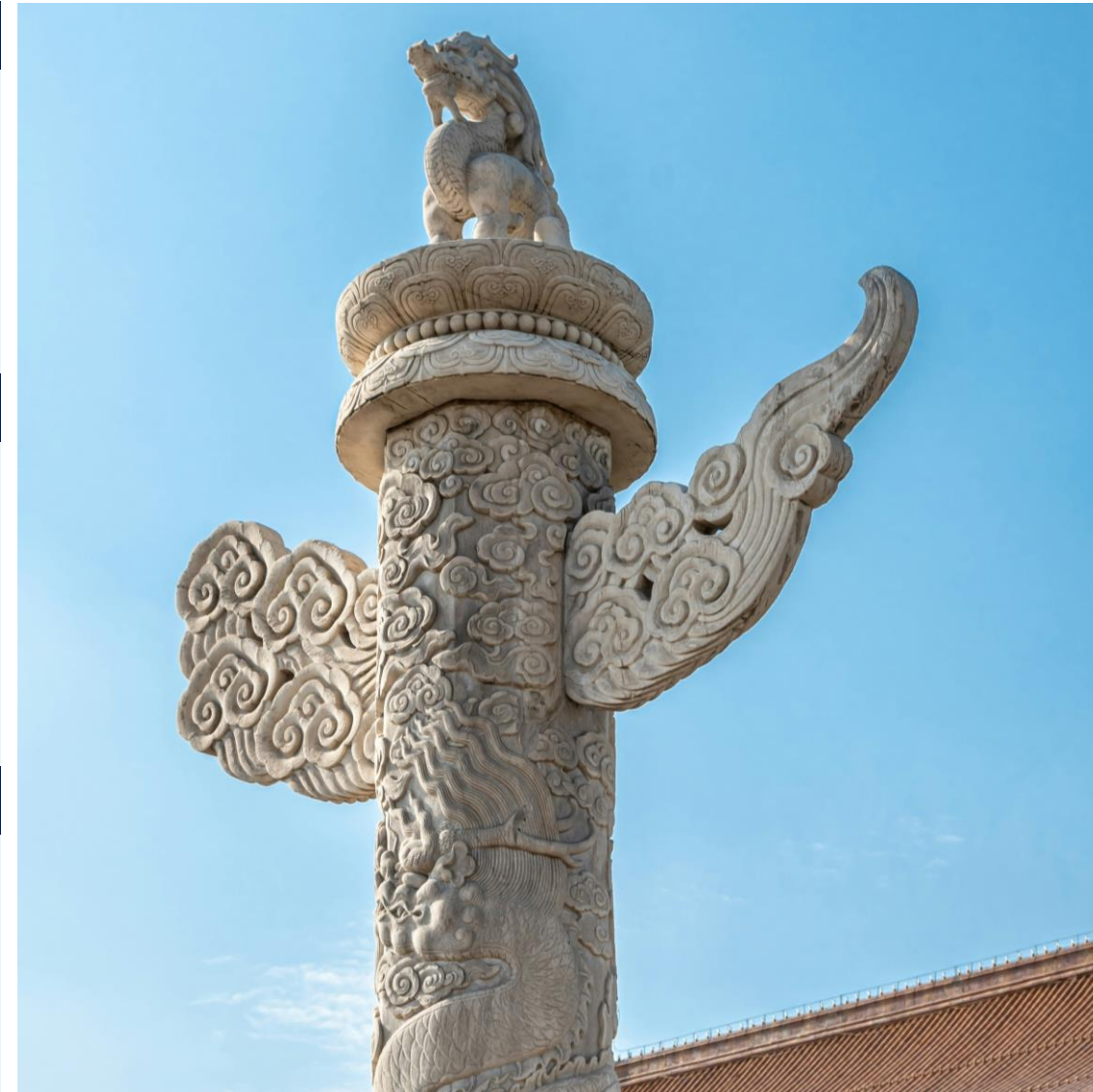
US-India trade negotiations (24 July as a soft deadline)

Trade talks are reportedly nearing completion, reaffirming strategic stability despite recurring bouts of friction. The Modi-Trump meeting on the sidelines of the June G7 summit has reportedly injected renewed momentum into bilateral trade talks, which are now believed to be nearing completion. India's Trade Minister Piyush Goyal has expressed **optimism that an interim deal could be concluded by 24 July**, when the US' global 10% tariffs expire.

But even if negotiations extend beyond this deadline, we maintain our view that a convergence of strategic interests – including long-term competition with China – should keep bilateral ties broadly on track. **Nevertheless, this does not preclude the possibility of recurring bouts of friction over trade, tariffs and [security issues](#).**

Politburo meeting in Beijing (late July)

The July meeting of the Politburo – China's top policy-making body – is one of the more important sessions in this year's political calendar. The meeting will most likely assess the state of the Chinese economy during the first half of 2026 **and set the economic policy direction for the rest of the year.** Post-meeting readouts could provide insights into priorities around industrial policy, support for the property sector, and the implementation of the 15th Five-Year Plan adopted in March 2026.



Source: 典方 on [Unsplash](#)

Appendix 1



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